a settlement by the general contractor and developer that resolves the general contractor's or developer's overall liability for construction defects on the project, particularly in this case where CBC's express contractual indemnity rights are retained. CBC has not cited cases addressing this circumstance, in which a court has held a good faith settlement determination should be denied on an objection by a general contractor for lack of allocation of the subcontractor's settlement.

The *Tech-Bilt* decision expressly recognizes that a party who settles should pay less in settlement than the party's potential liability if the case were litigated through trial. CBC has not demonstrated that the $85,000 paid in settlement by Willow Creek, representing somewhere between 49% and 63% of the total damages claimed by Plaintiffs, is "grossly disproportionate" to a reasonable estimate of Willow Creek's potential liability at the time of the settlement, which was made prior to the commencement of litigation. It was CBC's burden to prove the settlement is "grossly disproportionate" and so far out of the ballpark that the good faith determination should be denied, and the Court does not fine CBC has met that burden. Further, despite the settlement, CBC retains its express contractual indemnity claims against Willow Creek.

The Court finds that the Willow Creek settlement is a good faith settlement.

12. 9:00 AM CASE NUMBER: C25-01418
CASE NAME: LAUREL EVANS VS. ABE WORTMAN
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: NUNEZ, CAITLIN CAPPA
TENTATIVE RULING:*

Defendant Caitlin Cappa Nunez ("Defendant") brings the instant demurrer to the complaint of plaintiff Laurel Evans ("Plaintiff"). Defendant argues that that Plaintiff has failed to plead sufficient facts to support any of their causes of action against Defendant. (Notice of Demurrer, p. 2.) Defendant asks the Court to sustain their demurrer without leave to amend, or, in the alternative, compel arbitration and stay this action pending the arbitration proceedings. (Demurrer MPA, p. 17.)

For the reasons discussed below, the Court declines to rule on the request for arbitration and sustains Defendant's demurrer to the second (fraud), third (negligent misrepresentation), and seventh (UCL) causes of action, with leave to amend. The Court overrules Defendant's demurrer with respect to the fifth and sixth causes of action for declaratory relief, and with respect to Defendant's arguments relating to alter ego and the economic loss rule. Plaintiff may file and serve an amended complaint within 10 days of entry of this order. (Code Civ. Proc., §472b; California Rules of Court, rule 3.1320(g).)

Meet and Confer

The meet and confer requirement has been satisfied. (Jason S. Takenouchi Decl., ¶¶ 1-5; Code Civ Proc., § 430.41.)

Legal Standard for Demurrer

In ruling on a demurrer, a court must treat as true all properly pleaded material facts contained in the complaint, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39

Cal.3d 311, 318.) "We also accept as true facts which may be inferred from those expressly alleged." (*Cundiff v. GTE Cal., Inc*. (2002) 101 Cal.App.4th 1395, 1405.) A demurrer challenges "the sufficiency of the allegations in a complaint as a matter of law," not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Id.* at pp. 1404-1405.)

Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc*. (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the sufficiency of the complaint, a "court will not consider facts which have not been alleged in the complaint unless they may be reasonably inferred from the matters which have been pled or are proper subjects of judicial notice." (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718, fn.7.) "[A]t the demurrer stage the complaint must be construed in the light most favorable to the plaintiff." (*Wilson v. Houston Funeral Home* (1996) 42 Cal.App.4th 1124, 1138.)

Background

Plaintiff and defendant Proyecto, a general contractor, entered into two contracts for Proyecto to perform work at Plaintiff's real property. (Complaint, ¶¶ 8, 9.) Plaintiff paid Proyecto ~$134,000, but Proyecto failed to pay several subcontractors, leading to at least one subcontractor filing a lien against Plaintiff's property. (*Id*. at ¶¶ 10-11.) Additionally, Proyecto did not complete the work that it was to perform in relation to the contracts. (*Id*. at ¶ 12.)

On May 5, 2025, Plaintiff filed the operative complaint in this matter, which alleges claims against Defendant for fraud; negligent misrepresentation; declaratory relief, violations of Business and Professions Code section 17200, and asserts alter ego allegations in relation to Defendant and defendant Proyecto.

Discussion

Defective Notice and Petition to Compel Arbitration

Code of Civil Procedure § 1010, provides that "Notices must be in writing, and the notice of a motion, other than for a new trial, must state when, and the grounds upon which it will be made, and the papers, if any, upon which it is to be based." California Rules of Court, rule 3.1110, subdivision (a), provides that "A notice of motion must state in the opening paragraph the nature of the order being sought and the grounds for issuance of the order." Here, Defendant's notice, outside the caption and footers, is silent as to arbitration and only provides notice that Defendant is seeking to demurrer. (Notice of Demurrer, p. 2.) The notice neither identifies the grounds upon which Defendant is seeking to compel arbitration, nor the papers upon which Defendant will base its claim. (*Ibid*.) Further, California Rules of Court, rule 3.1330, provides that "A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference." Here, Defendant has not complied with this requirement.

Defendant has not properly noticed its intent to compel arbitration, and this issue is not properly before the Court at this time. The Court will disregard this issue in its instant analysis without prejudice to Defendant subsequently bringing a petition to compel arbitration that complies with the requisite legal requirements.

Alter Ego

Defendant argues that Plaintiff has not pleaded sufficient facts to satisfy the standard for pleading an alter ego theory between Defendant and Proyecto. (Demurrer MPA, p. 9; Reply, pp. 3-5.) "[T]he complaint fails to allege any specific instances of Cappa Nunez's supposed misrepresentations or misuse [of] funds as a Proyecto employee during the performance of the contract." (Reply, pp. 3-4.)

Plaintiff cites *Besser v. Walsh* (1990) 222 Cal.App.3d 619, 624, for the proposition that this issue is a fact intensive inquiry and "not readily susceptible to determination on demurrer," and cites two cases for the proposition that conclusory allegations are sufficient to survive demurrer if they give notice of the theory of liability. (*Doe v. Unocal Corp*. (2000) 27 Cal.4th 1099, 1109; *Leek v. Cooper* (2011) 194 Cal.App.4th 399, 415.) The Court has reviewed *Unocal* and *Cooper* and notes that the citation to *Unocal* appears to be incorrect and that *Cooper* does not appear to stand for the stated proposition.

However, in *Rutherford Holdings LLC v Plaza Del Rey* (2014) 223 Cal.App.4th 221, the court held that a plaintiff sufficiently to alleged alter-ego by asserting that "Caswell dominated and controlled PDR; that a unity of interest and ownership existed between Caswell and PDR; that PDR was a mere shell and conduit for Caswell's affairs; that PDR was inadequately capitalized; that PDR failed to abide by the formalities of corporate existence; that Caswell used PDR assets as her own; and that recognizing the separate existence of PDR would promote injustice." (*Id*. at p. 235.) Here, Plaintiff pleads that Defendant exercised complete control of Proyecto (Complaint, ¶ 61), "there is a unity of interest and ownership between the corporation and the individuals that the separate personalities no longer exist" (*id*. at ¶ 64), "that PROYECTO was inadequately capitalized, failed to observe corporate formalities, and was used as a mere shell, instrumentality, or conduit by Wortman and Nunez to perpetrate a fraud, circumvent legal obligations, or otherwise accomplish an inequitable result" (*id*. at ¶ 62), that "funds paid by Plaintiff for subcontractor labor and materials were diverted or misappropriated by the individual defendants for purposes other than those contractually required or legally permitted" (*id*. at ¶ 63), and that "[a]dherence to the fiction of PROYECTO's separate corporate existence would promote injustice, sanction fraud, and allow Defendants to avoid liability for their wrongful conduct." (*Id*. at ¶ 65.) The Court finds that Plaintiff's allegations are sufficiently on track with the allegations in *Rutherford*, which the court of appeal approved as properly pleading an alter ego theory.

Contrary to Defendant's argument that Plaintiff failed to allege certain "specific instances" of Defendant's conduct, this is not required. As stated in Rutherford, "Defendants argue that Rutherford failed to allege specific facts to support an alter ego theory, but Rutherford was required to allege only 'ultimate rather than evidentiary facts.' [Citation] Moreover, the 'less particularity [of pleading] is required where the defendant may be assumed to possess knowledge of the facts at least equal, if not superior, to that possessed by the plaintiff,' which certainly is the case here. [Citation.]" (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 236.)

The Court overrules Defendant's demurrer to with respect to its arguments relating to Plaintiff's alter ego allegations.

Economic Loss Rule

Defendant argues that Plaintiff's tort claims are barred by the economic loss rule because the tort claims arise from and are not independent of the underlying contract claims. (Demurrer MPA, pp. 10-11; Reply, p. 7.) Plaintiff argues that they allege more than a mere failure to perform contractual obligations, and that their claims for reflect intentional misrepresentations and fraudulent inducement, which have been held to not be barred by the economic loss rule by California courts when they are based on conduct that breaches a duty independent of the contract. (Opposition, pp. 3-5.)

It is true that fraud and intentional misrepresentations that are independent of a party's breach of contract are actionable and not barred by the economic loss rule. (*Robinson Helicopter Co., Inc. v. Dana Corp*. (2004) 34 Cal.4th 979, 991 ["We hold the economic loss rule does not bar Robinson's fraud and intentional misrepresentation claims because they were independent of Dana's breach of contract. [Citation.] Because Dana's affirmative intentional misrepresentations of fact (i.e., the issuance of the false certificates of conformance) are dispositive fraudulent conduct related to the performance of the contract, we need not address the issue of whether Dana's intentional concealment constitutes an independent tort."].)

Here, Plaintiff's fraud allegations are based on sufficiently unique facts to take them outside the scope of a simple breach of contract. (Complaint, ¶¶ 24-36.) The Court overrules Defendant's demurrer based on the economic loss rule.

Sufficiency of Fraud Allegations

Defendant argues that Plaintiff's fraud and negligent misrepresentation claims are not pleaded with the requisite specificity. (Demurrer MPA, pp. 11-12; Reply, p. 6.) Plaintiff takes the position that their fraud and negligent misrepresentation claims are pled with sufficient particularity, and argue that this requirement is relaxed when the facts lie more in the knowledge of the opposite party, which they assert is applicable here. (Opposition, pp. 5-7.)

Generally, fraud must be pled with particularity. (*Hills Transportation Co. v. Southwest Forest Ind., Inc*. (1968) 266 Cal.App.2d 702, 707.) With regard to fraud claims, pleadings must allege facts as to "'how, when, where, to whom, and by what means the representations were tendered.'" (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.) "The requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." (*Tarmann v. State Farm Mut. Auto. Ins. Co*. (1991) 2 Cal.App.4th 153, 157.) The elements of negligent misrepresentation must be alleged with same level of particularity that is required to state a claim for intentional misrepresentation. (See *Small v. Fritz Companies, Inc*. (2003) 30 Cal.4th 167, 173–174.)

Here, Plaintiff has not pled their fraud and negligent misrepresentation claims with the required level of specificity because they do not allege the how, the when, the means the representations were tendered, or the name of the person who made the representation, their authority to speak, to whom they spoke, etc. The Court sustains Defendant's demurrer to Plaintiff's second (fraud) and third (negligent misrepresentation) causes of action against Defendant, with leave to amend.

UCL

Defendant argues that Plaintiff has not properly pled a claim for violation of Business and Professions Code § 17200 because they do not plead what specific laws were violated, they make only generalized and conclusory allegations that Defendant's conduct was unfair, and they did not plead any fraudulent scheme with the proper specificity. (Demurrer MPA, pp. 12-14; Reply, p. 7.) Plaintiff asserts that they properly pled this claim because they pled a variety of unlawful conduct and that this conduct was also unfair because it offends public policy, is immoral, unethical, oppressive, and unscrupulous. (Opposition, pp. 7-9.) Also, Plaintiff asserts that its fraud-based claim is sufficient because all they need to plead is that the alleged conduct is likely to deceive the public. (*Id*. at p. 8.)

The Court notes that "[a] plaintiff alleging unfair business practices [under the UCL] must state with reasonable particularity the facts supporting the statutory elements of the violation." (*Khoury v. Maly's of Cal*. *Inc*., 14 Cal.App.4th 612, 617 (1993). Here, Plaintiff's complaint only provides generalized and conclusory allegations regarding the conduct asserted to satisfy the unfair, unlawful, and fraudulent prongs of this legal theory. (Complaint, ¶¶ 55-57.) The Court sustains Defendant's demurrer to the seventh cause of action, with leave to amend.

Declaratory Relief

Defendant argues that there is no basis for declaratory relief because Plaintiff pleads breach of contract claims that, if proven, would provide an adequate legal remedy, making this claim redundant. (Demurrer MPA, p. 14; Reply, p. 7.) Plaintiff argues that they properly pled an actual controversy, as the law requires, and that declaratory relief claims should be liberally construed. (Opposition, pp. 9-10.)

Defendant relies on *Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, for its position. The court in *Jolley*, stated, "The undisputed facts show that loan modification negotiations did not result in a written instrument or contract under which the parties' rights need to be declared. While there may be a controversy about past conduct, we see no reason why money damages would not be an adequate remedy. [Citation.] Moreover, this cause of action is redundant of Jolley's other claims, and declaratory relief may be denied 'where its declaration or determination is not necessary or proper at the time under all the circumstances.' [Citation.] Where, as here, Jolley has a fully matured cause of action for money, he must seek damages, and not pursue a declaratory relief claim." (*Id*. at pp. 909-910.)

Here, in contrast to *Jolley*, there are two written instruments in which the remaining rights and obligations could still be declared, as the performance was not completed as to either contract. (Complaint, ¶¶ 8-15, 43-46.) The Court declines to sustain Defendant's demurrer as to Plaintiff's cause of action for declaratory relief.

Ruling

The Court sustains Defendant's demurrer to the second (fraud), third (negligent misrepresentation), and seventh (UCL) causes of action, with leave to amend. The Court overrules Defendant's demurrer with respect to the fifth and sixth causes of action for declaratory relief, and with respect to

Defendant's arguments relating to alter ego and the economic loss rule. Plaintiff may file and serve an amended complaint within 10 days of entry of this order. (Code Civ. Proc., §472b; California Rules of Court, rule 3.1320(g).)

As stated above, the Court has disregarded the petition to compel arbitration that was not properly brought with the instant demurrer, without prejudice to Defendant subsequently bringing a petition to compel arbitration that complies with the requisite legal requirements.

13. 9:00 AM CASE NUMBER: C25-02400
CASE NAME: JOVANATHAN CLARK VS. CITY OF RICHMOND
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: CITY OF RICHMOND
TENTATIVE RULING:*

Introduction

Before the Court is Defendant City of Richmond, Richmond Police Department, and Sergeant Savannah Stewart (collectively, "Defendants")'s Demurrer. The Demurrer relates to Plaintiff Jovanathan Clark ("Plaintiff")'s Complaint filed on August 21, 2025, for (1) False Arrest/False Imprisonment (Complaint, ¶¶ 19-22); (2) Defamation (Complaint, ¶¶ 23-26); (3) Negligent Infliction of Emotional Distress (Complaint, ¶¶ 27-30); and (4) Intentional Infliction of Emotional Distress (Complaint, ¶¶ 31-34). Plaintiff also asserted a claim for Negligent Investigation (Gov. Code §§ 815.2, 820) against the City and the Police Department. (Complaint, ¶¶ 35-38.).

Defendants demur to Plaintiff's Complaint on several grounds including failure to comply with the mandatory claim presentation requirements of the Government Claims Act, improper naming of a non-existent legal entity, sovereign immunity, and failure to allege a statutory basis for liability.

For the following reasons, **the Demurrer is sustained in its entirety with leave to amend and the Richmond Police Department is stricken as a defendant.**

Meet and Confer Requirement

Defendants satisfied their meet and confer requirement regarding their demurrer in detailing their efforts in reaching out to Plaintiff's counsel by email and telephone. (Gilbert Decl. at ¶ 3.) However, the parties were unable to reach an agreement. (Gilbert Decl. at ¶ 3.)

Request for Judicial Notice

Defendants request the Court take judicial notice of three documents: Exhibit A, the Declaration of City of Richmond Deputy City Clerk Pamela Christian; Exhibit B, a letter from Contra Costa County Risk Management Department to Dylan Hackett, Plaintiff's attorney, concerning the Government Code claim he submitted, dated June 17, 2025; and Exhibit C, Notice to Claimant sent to Plaintiff's attorney, Dylan Hackett, from the Board of Supervisors for Contra Costa County, concerning Plaintiff's Government Code claim to the County, dated July 8, 2025.

Defendants rely on *Gong v. City of Rosemead* (2014) 226 Cal.App.4th 363 and *Fowler v. Howell* (1996) 42 Cal.App.4th 1746 in support of judicial notice of these records.

In *Fowler*, the trial court and the Second District Court of Appeal both took notice of a declaration of a